# Rheinmetall AG (RNMBY)

## €80.5B Backlog

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*€80.5B Backlog. Order backlog up from €56B a year ago gives years of revenue visibility. Q2 alone booked €11.37B of new orders, outstripping delivery capacity [H1 2026 report][Press]. European Rearmament. Germany's €108.2B defense budget for 2026, EU SAFE program orders, and NATO restocking. The 2030 roadmap targets €50B sales at >20% margin [Press][CMD Nov 2025]. Market Prices Below Bear Case. At $245.25 [Mkt 17-Oct-26], the DCF base of $345.50 implies +40.9% upside, and the market's implied 18% CAGR sits under the 27% bear case. The stock is down ~50% from its peak on pessimism, not fundamentals. Our framework screens it as a **Buy** with a $347.41 blended target, 41% above the current price.*

| BUY | $347.41 | +41% | $245.74 |
|---|---|---|---|
| INVESTMENT RATING | BLENDED TARGET | BLENDED UPSIDE | REFERENCE PRICE |

**€80.5B Backlog. Order backlog up from €56B a year ago gives years of revenue visibility. Q2 alone booked €11.37B of new orders, outstripping delivery capacity [H1 2026 report][Press].**

## Executive summary

**European Rearmament.** Germany's €108.2B defense budget for 2026, EU SAFE program orders, and NATO restocking. The 2030 roadmap targets €50B sales at >20% margin [Press][CMD Nov 2025].

**Market Prices Below Bear Case.** At $245.25 [Mkt 17-Oct-26], the DCF base of $345.50 implies +40.9% upside, and the market's implied 18% CAGR sits under the 27% bear case. The stock is down ~50% from its peak on pessimism, not fundamentals.

| €80.5B | €5.23B | €786M | 15.0% | €3.289B | €562M |
|---|---|---|---|---|---|
| ORDER BACKLOG (H1 2026) | REVENUE (H1 2026) | OPERATING RESULT (H1 2026) | OPERATING MARGIN (H1 2026) | REVENUE (Q2 2026) | OPERATING PROFIT (Q2 2026) |

## The moat is structural

2030 roadmap: €50B sales (5x 2025) at operating margin above 20%, pure-play defense after civilian exit

## Three scenarios make the valuation range explicit

The DCF values Rheinmetall AG across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

| SCENARIO | WEIGHT | TARGET | UPSIDE |
|---|---|---|---|
| **Bear (Conservative)** | 25% | **$205.47** | -16% |
| **Base** | 50% | **$339.90** | +38% |
| **Bull** | 25% | **$504.38** | +105% |

**Bear ($205.47, -16%):** Growth disappoints and multiples compress; the $205.47 target marks the downside case.

**Bull ($504.38, +105%):** Execution compounds and the multiple rerates; the $504.38 target marks the upside case.

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## The probability-blended target implies +41% upside

### Blended target: $347.41 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +41% upside from the $245.74 reference price.

**$347.41**

BLENDED TARGET

## A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Fwd P/E ~26-29x [Cons 17-Oct-26] DCF Base $345.50 vs $245.25 (+40.9%) Reverse DCF implies 18% CAGR vs 27% bear case The model says the market is pricing worse than the bear case; 41% upside to base.

## Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

**Methodology note.** The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $347.41 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.



2030 roadmap: €50B sales (5x 2025) at operating margin above 20%, pure-play defense after civilian exit [CMD Nov 2025]

German defense budget of €108.2B for 2026; NATO members rebuilding stocks [Press]

Largest Western munitions producer; expanding from ~70k to 1M+ artillery rounds annual capacity [Press]

KNDS consolidation optionality: strategic upside not in the base case, per sell-side research [Press]

## What to monitor

**Nov 5, 2026.** Q3 2026 Earnings (Positive): Q2 beat consensus operating profit by ~20%. H2 carries the margin ramp to ~19% for the full year.

**2026.** German Budget Allocation (Positive): €108.2B defense budget for 2026. Framework contract call-offs converting to firm orders is the re-rating trigger.

**2026-27.** Contract Flow (Positive): Romanian €5.7B package, Skynex air-defense orders, artillery ammunition packages for Ukraine and EU members.

| €80.5B | €5.23B | €786M | 15.0% |
|---|---|---|---|
| ORDER BACKLOG (H1 2026) | REVENUE (H1 2026) | OPERATING RESULT (H1 2026) | OPERATING MARGIN (H1 2026) |

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## Financial summary

| YEAR | REVENUE | GROSS PROFIT | NET INCOME |
|---|---|---|---|
| 2025 | $9.9B | $5.2B | $696M |
| 2024 | $7.7B | $4.2B | $717M |
| 2023 | $7.2B | $3.9B | $535M |
| 2022 | $6.4B | $3.4B | $474M |



## Key risks

**Negative Free Cash Flow.** Operating free cash flow was -€1.6B in H1 2026 on postponed advance payments, inventory builds, and uncollected receivables. Management expects a significantly negative full-year print. [H1 2026 report]

**Execution Delays.** Media reports cite delivery delays on the wheeled armored vehicle and Skyranger air-defense system, plus possible quality defects in protective plates. [Press]

**Aggressive 2030 Target.** The €50B 2030 target includes acquisitions and assumes flawless capacity ramp. Missing it would re-rate the growth premium fast. [CMD Nov 2025]

**Backlog Definition.** The €80.5B Rheinmetall Backlog includes expected framework-agreement call-offs, not just signed firm orders. Part of the headline number is not yet contracted. [H1 2026 report]

**ADR Liquidity & Governance.** Unsponsored ADR with thin daily volume (~13k shares on Oct 16). CEO Papperger's leadership style and concentrated decision-making have drawn criticism. [Mkt 17-Oct-26]

## Investment view

Further FCF deterioration or delivery delays would cut Operating Quality and Trend. Conversely, German budget call-offs converting to firm orders or a major framework win could re-rate the stock toward the DCF base ($345.50).

**Buy.** The $347.41 blended target implies +41% upside, balancing the $205.47 / $339.90 / $504.38 Bear / Base / Bull targets.



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## Upcoming catalysts

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